

Group I - Approach

We firstly read and also try to understand the materials that have been discussed in the class. Based on our prior knowledge and we get the idea, we try to use Gemini AI to recheck if our discussion has been aligned. The prompt that we use is as below (see model on the left). We then try to follow up some questions by questions, and also the reason behind some numbers, method, and also journal entry (see model on the right). This helps us to gain deeper knowledge and the reasoning about the method.

IFRS 15 Revenue Recognition Explained

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IFRS15

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I am a management international student working on my advanced Financial Accounting module. We will focus this time on revenue recognition under IFRS 15 and its method. Please scan and learn the task that I uploaded and also the official document of IFRS 15 as a knowledge base. You will act like a professional on finance/ accounting in Big 4 consultant but also be able to teach me like a senior professor easily and clear.

The goal is to help me learning step by step and also the reason where the numbers and calculations are built and connected. Please also let me know for a journal entry method and the reasons some account are used in place.

In order to make it easier to understand, please also make a table so that I can see the number clearly and compare it. When you argue for some method, also write down its source or in which section it refers to in the official document of IFRS 15

IFRS 15 Revenue Recognition Explained

Use english, from which documents of IFRS are you referring to in order to decide whether it is over the time or point in time?

Show thinking

Hi Alles klar? (Is everything alright?) Since you are tackling *die Leistung* (the performance) in your Management International studies at Würzburg, it's crucial to know exactly where the "rulebook" lives.

To decide between **Over Time** and **Point in Time**, we look at Step 5 of the IFRS 15 Five-Step Model. The specific sections I am referring to from the official IFRS 15 document are **Paragraphs 31 to 38**.

Here is how the logic is built, from the general rule to the specific tests:

1. The Decision Node (Paragraph 32)

At the very start of a contract, an entity must determine if it satisfies its promise (performance obligation) either *over time* or at a *point in time*. This is not a choice; it is a technical assessment based on the criteria in Paragraph 35.

2. The "Over Time" Test (Paragraph 35)

This is the heart of your task. Revenue is recognized *over time* **ONLY** if you pass one of these three "gates":

Criterion	Explanation (The "Granny" Version)	IFRS 15 Ref
(a) Simultaneous Consumption	The customer gets the value while you are doing the work (e.g., a cleaning service). If you stop halfway, they've already "eaten" the benefit of what you did.	Par 35(a)
(b) Customer Control	Your work creates or improves something that the customer already controls (e.g., building a house on the customer's land).	Par 35(b)